Q17

The revaluation reserve has arisen because the fair value of the property, plant and equipment on the open market exceeds their net book value. [1]

That could have arisen in two ways. Firstly, the assets might have appreciated in value during their period of ownership. [1]

In that case, it would still be appropriate to charge depreciation and so the fair value could exceed the net book value. [1]

Secondly, it is possible that the assets are being depreciated using the reducing balance method at a very rapid rate. [1]

In that case, it would be possible for the company's assets to be depreciated at an excessive rate when they are new and, for a period, for their book values to be lower than their fair values. [1]

In either case, if the fair value is reflected in the financial statements then there will be a balance on the revaluation reserve.

[Total 5]

Commentary:
Many candidates had enough knowledge to gain three marks but few knew enough to gain a higher mark. Many answers were just repeating the study text. Few candidates mentioned depreciation in their answers.

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